Count once. Trust the number.

Three pages: the count plan from two weeks out, the freeze and cut-off note, a count sheet to print, and how to turn the differences into dollars. Change the square brackets and use it this December.

01 The count plan

WHEN	WHAT HAPPENS	WHO
Two weeks before	Fix the date; tell sales, purchasing and the warehouse. Clear the returns shelf: back into stock or written off, with an entry. Post all receipts and deliveries still on paper. List stock held outside.	Finance, warehouse
One week before	Tidy and label: one item, one location, one label. Print count sheets by location, with no system quantities (page 2). Pair the counters: one counts, one writes. Set a recount limit, such as 2% a line.	Warehouse lead
On the day	Freeze movement; write down the cut-off numbers below. Count every location and mark each shelf when done. Damaged and expired stock goes on its own sheet. A second pair recounts lines over the limit.	Count teams
After	Work out the variance in dollars (page 3). Write a five-word reason for each difference kept; count the unknowns. Adjust the records once, with one approver. The top three reasons are next year's fixes.	Finance; director

02 The freeze and cut-off note

Send it two working days before. What arrives before the freeze is counted and recorded; nothing after it is.

> **Subject: Stock count on [day, date]: no stock moves from [time] to sign-off**
> Hi all, we count stock on [day, date]. From [time] until I confirm sign-off: no receiving, no picking, no deliveries, no transfers. Urgent orders are picked before [time] and kept in the area marked "sold, not counted". Goods that arrive during the count stay sealed in the area marked "received after count" and are entered the next working day. Questions to [name]. Thank you, [Your name]

Cut-off numbers, written before the first count. Anything higher belongs to next period.

Last goods receipt no. _____ Last delivery order no. _____

Last sales invoice no. _____ Last transfer or adjustment no. _____

Three rules that decide whether you can trust the number

1. **The count sheet shows no system quantity.** A counter who sees 120 on the sheet tends to find 120. 2. **Two people per team, and neither keeps the stock records.** 3. **Nothing moves until sign-off.** Anything that must move goes on a log. Christmas Day (25 Dec) and New Year's Day (1 Jan) both fall on a Friday (Ministry of Manpower, public holidays), so fix the date now.

03 The count sheet

No system quantity on this sheet, on purpose. Count what is there and write what you counted, in pen. Write the unit you counted in (piece, box of 12, kg): mixed units are a common reason a count looks short.

Location or zone _____ **Sheet no.** _____ **of** _____

Counted by _____ **Written by** _____ **Date and start time** _____

NO.	ITEM CODE	DESCRIPTION	BIN	UNIT	COUNT	RECOUNT	NOTE*
1							
2							
3							
4							
5							
6							
7							
8							
9							
10							
11							
12							
13							
14							
15							
16							
17							
18							
19							
20							
21							

*Note: D = damaged, E = expired, N = not ours (customer or supplier stock), S = sold, not yet collected. Cross out mistakes with one line and initial them. Do not use correction fluid, and leave no line blank: write "nil" if the bin is empty.

Counter: name, signature | Writer: name, signature | Checked by (finance) | Time finished

The system quantity is added later, by someone who did not count, on a separate comparison list. That list, not this sheet, is where the differences are worked out.

04 The variance in dollars

A difference in units means little until it has a price. For each line: **(counted quantity minus system quantity) × unit cost.** Then total the shorts and the overs separately, as well as the net.

WORKED EXAMPLE (EXAMPLE FIGURES)	SYSTEM	COUNTED	DIFFERENCE	UNIT COST	VARIANCE
Item A	500	482	-18	S$12.50	-S$225
Item B	120	131	+11	S$40.00	+S$440
Item C	60	52	-8	S$185.00	-S$1,480
Item D	1,000	940	-60	S$3.20	-S$192
Item E	75	75	0	S$96.00	S$0

Shorts -S$1,897 · Overs +S$440 · Net -S$1,457 (4.5% of the S$32,550 in the records)

How to read it. The net, S$1,457, is the figure that goes to the books. The shorts and the overs show how much is really out of place: S$2,337 in total. An over beside a short on a similar item is usually a mix-up at picking, not a loss.

Where to look first. Item C is 8 units short and S$1,480, which is 78% of the shorts. Item D is 60 units short and S$192. Recount by dollars, not by units: C first, D last.

05 The three likeliest causes of a short count

CAUSE 1

Paperwork and stock out of step

Goods left but the delivery was not recorded, or a receipt was entered before the goods arrived.

The sign: the difference matches one document dated near the count.

First check: the five receipts and five deliveries either side of your cut-off numbers.

CAUSE 2

Wrong unit or a missed place

Counted in boxes, recorded in pieces. Or stock sits in a second location, at a customer or at the forwarder.

The sign: the difference is a neat multiple (12, 24, 100) or a whole pallet.

First check: recount with the unit written down, and confirm the list of stock held outside.

CAUSE 3

Stock used without an entry

Samples, replacements, damaged goods thrown away, internal use, production waste.

The sign: small shorts across many fast-moving lines.

First fix: one log for samples, damage and internal use, entered every week.

Check these three before you assume theft. Each one leaves a trail you can follow. **Free tools for this, at tools.gantry.work:** a stock take variance calculator and a slow-moving stock calculator.

Want a second pair of eyes on last year's count?

Send me last year's count sheet or variance list: item code, system quantity, counted quantity and unit cost. No item names or supplier names are needed. Within 48 working hours you get **one page back**: the variance in dollars and the three likeliest causes to check before this year's count, with a 5-minute recording that talks you through it. Free, and no pitch unless you ask for one. **Message me COUNT SHEET on LinkedIn.**